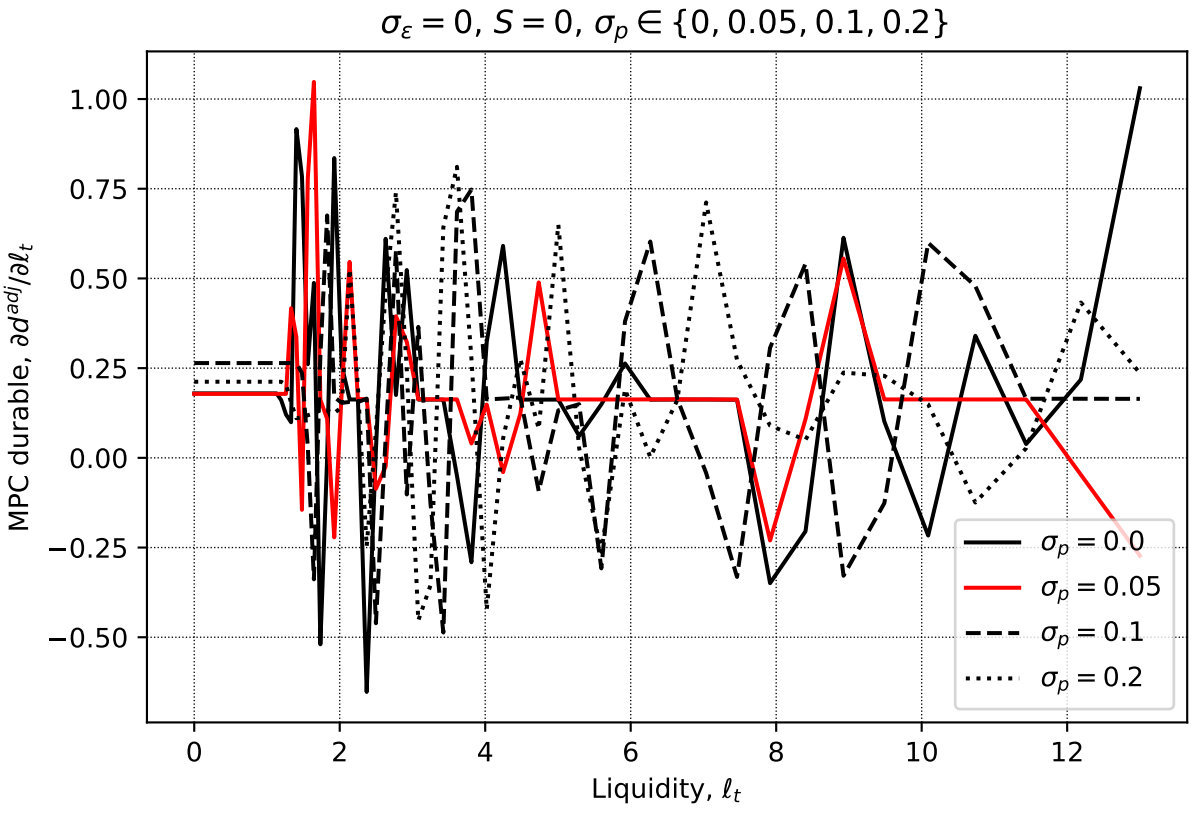
$\sigma_\varepsilon = 0$, $S = 0$, $\sigma_p \in \{0, 0.05, 0.1, 0.2\}$
MPC durable, $\partial d^{adj}/\partial \ell_t$
Liquidity, ℓ_t
1.00
0.75
0.50
0.25
0.00
−0.25
−0.50
0
2
4
6
8
10
12
$\sigma_p = 0.0$
$\sigma_p = 0.05$
$\sigma_p = 0.1$
$\sigma_p = 0.2$